

changes – they sell the outgoing stock and buy the incoming stock. This is why passive funds cost less than active funds.

Index returns

Why do we buy active funds when passive is cheaper and less risky? Because the Indian market still has alpha left in it. What's this alpha? Alpha is the extra return that the fund manager can generate over the index. Active fund managers have done very well in India and the higher cost of active management has been more than compensated by the higher returns these have earned.

How does the index give returns, you're thinking. Have you heard the term Sensex return? Or heard somebody say: the Sensex has given returns of 15 per cent a year over the last thirty years? What does this even mean? How can the Sensex, which is an index, give returns?

We met Mr Sensex in the last chapter and wanted a way to buy him. The way to do that is through a passive fund. There are two kinds of passive funds – an index fund and an exchange-traded fund. They both choose an index and mimic it.

Let's think of an index fund in the Sensex. We now know that the Sensex has thirty stocks. How many of each is held depends on a formula. So the number of shares of each of the thirty shares that will be bought will depend on the weight of the share in the index.

If we were thinking of a mango price index, we'd include all thirty varieties, and give a higher weight to the kind that sells more. If half the volume of sales came from Alphonso, that kind will have half the weight in the mango index. This is a very crude example, but enough to understand that the Sensex is a weighted average of the prices of thirty stocks.

The index will buy the thirty stocks in the same proportion as they have in the Sensex and just stay with the investment. If the Sensex falls by 1 per cent, the index fund's NAV (net asset value, i.e., the price of one unit of a mutual fund) will also fall by around 1 per cent. Your return will be equal to the Sensex return minus costs. Look at the discussion on NAV to understand this better.